

Tutorial 02

Scarcity, Choice & the Cost of Everything

Q1. You, your family, a business, and even the Government of India all run into the same wall eventually: wants outrun what's available. What is this basic economic problem called?

- A. Inflation
- B. Scarcity
- C. Unemployment
- D. Competition

Q2. Economics is best described as the study of how people, businesses, and governments—

- A. Avoid all costs entirely
- B. Make choices to cope with scarcity
- C. Always pick the cheapest option available
- D. Eliminate scarcity permanently

Q3. Even a billionaire and a daily-wage worker share one thing in common: neither can have unlimited time, attention, or money. Scarcity confronts—

- A. Only the poor
- B. Only the rich
- C. Both the poor and the rich
- D. Neither — scarcity is a myth

Q4. As an economic concept, scarcity applies to—

- A. Money, but not time
- B. Time, but not money
- C. Both money and time
- D. Neither money nor time

Q5. Because resources are scarce, every choice you make involves—

- A. Giving up something for nothing
- B. An opportunity cost
- C. Unlimited wants
- D. No real trade-off

Opportunity Cost in Action

Q6. The opportunity cost of any decision is—

- A. The highest-valued alternative given up
- B. Every possible alternative given up, added together
- C. Only the money spent
- D. Only the time spent

Q7. You take a ₹1,50,000 vacation. While you're away, you skip work where you would have earned ₹40,000. What is the true opportunity cost of the vacation?

- A. ₹1,90,000
- B. ₹40,000
- C. ₹1,10,000
- D. ₹1,50,000

Q8. On a free Sunday, you rank your options: prepare for a competitive exam, play cricket with friends, meet family for lunch, or sleep in. You choose to prepare for the exam. Your opportunity cost is—

- A. Playing cricket, meeting family, and sleeping in — all three, added together
- B. Zero, since studying doesn't cost any money
- C. Playing cricket — your next-best option
- D. Not clear — not enough information is given

Q9. When the Government of India allocates funds to build a new expressway, those same funds are no longer available to build rural primary health centres. This illustrates—

- A. A market mechanism
- B. Opportunity cost
- C. A fiscal deficit
- D. Macroeconomics

Thinking at the Margin

Q10. The additional benefit gained from one more unit of an activity is called—

- A. An incentive
- B. Opportunity cost
- C. Marginal benefit
- D. Marginal cost

Q11. Marginal cost is the cost that—

- A. Your activity imposes on someone else
- B. Exceeds the benefit of an activity
- C. Arises from one additional unit of an activity
- D. Arises only from an activity's secondary effects

Q12. A farmer is deciding whether to bring one more acre under sugarcane cultivation. To decide correctly, she should compare—

- A. The total revenue versus the total cost of her entire farm
- B. The extra revenue versus the extra cost of that one more acre
- C. This year's profit versus last year's profit
- D. The market price of land alone

Q13. A student has already paid a non-refundable ₹5,000 exam-coaching fee. She is now deciding whether to attend today's class despite feeling unwell. The ₹5,000 already paid should—

- A. Be the main factor in her decision
- B. Not influence the decision — it's a sunk cost
- C. Be doubled before she decides anything
- D. Be refunded before she can decide

Current Affairs Lens (2026)

Q14. In June 2026, the RBI held the repo rate at 5.25% instead of cutting it, despite slowing growth. The growth support given up is best described as—

- A. A sunk cost
- B. An opportunity cost
- C. An accounting profit
- D. A marginal cost

Q15. The IMF's July 2026 update projects India's growth near 6.4%, among the fastest of major economies. Choosing to channel scarce capital into production and technology instead of other uses illustrates—

- A. Opportunity cost, at the scale of an entire economy
- B. A command economy at work
- C. Marginal cost exceeding marginal benefit
- D. An accounting loss

Q16. The 2026 waiver of long-term capital gains tax for foreign investors in government securities, meant to attract capital inflows, means the government is accepting—

- A. An explicit cost
- B. An implicit cost — the tax revenue given up
- C. A sunk cost
- D. No cost at all

Q17. With crude oil near \$110/barrel in 2026, Indian refiners must prioritise how they use scarce foreign exchange for imports. This is a real-world illustration of—

- A. The circular flow of income
- B. The problem of scarcity and choice
- C. A command economy
- D. Communism

Applied Cases

Q18. Ravi's Startup

Ravi quits his job at a software company, where he was earning ₹12,00,000 a year, to start his own tech venture. In the first year, his business generates total revenue of ₹15,00,000, while his explicit costs (rent, salaries, software tool etc come to ₹5,00,000.

- a. What is Ravi's accounting profit?
- b. What is his economic profit?
- c. Should Ravi consider this a good financial decision? Explain briefly using economic reasoning.

Q19. Meera's Choice

Meera is weighing two options.

Option A: Open a café, with expected annual revenue of ₹30,00,000 and explicit costs (rent, staff, supplies) of ₹18,00,000.

She would also need to use ₹10,00,000 of her own savings, which currently earn 6% interest a year.

Option B: Take a job as a project manager at an annual salary of ₹14,00,000.

Both options require her full time, and she cannot do both at once.

- A. What is the opportunity cost of running the café?
- B. Calculate the economic profit from running the café.
- C. Should Meera open the café or take the job? Justify using economic reasoning.

Q20. Rohan's Tiffin Service

Rohan runs a home-food tiffin service. Hiring one additional cook would cost ₹18,000 a month in wages. That cook would let Rohan prepare and deliver 150 more meals a month, each earning a net contribution (price minus ingredient cost) of ₹140.

- A. What is the additional (marginal) revenue from hiring the cook?
- B. Using incremental reasoning, should Rohan hire the cook? Justify your answer.
- C. At roughly how many extra meals a month would hiring the cook just break even?